

tor crisis in the past two years. And auto is a big sector for us, but our volumes were not impacted because whatever shortfall there was in auto, we were very easily able to push that into other sectors... With this export duty coming in, we were not able to export the volumes that we were [doing earlier]. So we pushed our volumes into sectors we were not very aggressive about [earlier]. There was a small dip in volumes [in the April-June quarter] compared to Q4FY22, but overall we were able to maintain our volumes. Our margins were impacted by the export duty, because everybody was buying only for the domestic market. And I think that was the impact the government wanted.



What percentage of your business is exports?

Our share of exports before the pandemic was 20-25 per cent. During the pandemic, it increased to about 30 per cent. However, after the imposition of export duty, it went as low as 10 per cent.



What has been the progress on your merger with JSHL?

JSHL was demerged in 2014. We were in corporate debt restructuring... [and] had a factory each in Hisar and Odisha; so splitting them into two listed companies was a good option [then]. JSL and JSHL received approvals from

their shareholders and creditors on April 23, 2022 [to merge]. The companies expect the process to be completed within the current financial year.



How will the merger impact your operations?

The merger is from the perspective of having one standalone entity that is a global major in stainless steel. After the merger, we will be among the top 10 stainless steel producers

logistics, etc. Now, we'd be able to do away with that.



What will be your strategy to make Jindal Stainless one of the top 5 companies in the sector globally?

Our USP lies in new product development with a focus on catering to the demand for a high-end, niche stainless steel product portfolio, along with an agile product mix as per market trends. Backed

world's most ambitious nuclear energy project at the Institute of Technical Education and Research (ITER) in France.

After the merger and upon the completion of our brownfield expansion plans, we will be one of the largest stainless steel manufacturers in the world with a melt capacity of 2.9 million tonnes per annum. This will unlock seamless integration of high volumes and niche offerings, catering to the

AS RAW MATERIAL PRICES FALL, THE WHOLE ECONOMY GOES INTO A KIND OF 'DESTOCKING' MODE. THERE IS PRESSURE TO SELL VOLUMES, [AND] THERE IS PRESSURE ON MARGINS

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in the world. And after our expansion, we aim to be in the top 5 in the world.

The merger will have a lot of benefits, including an improved balance sheet and stakeholder benefits. Our negotiating power will increase because rather than negotiating with our vendors and suppliers as two separate entities, we will now negotiate as one. It will also help in improving customer service. Our investors will benefit as well. Since we had two legal entities, we had to make a lot of double investments—warehousing,

by our in-house R&D, we are constantly developing innovative stainless steel solutions for various critical applications of national importance across sectors such as railway infrastructure, oil and gas, defence, aerospace, nuclear applications, etc. Some of the prestigious projects where we have contributed in the past include satellite launch vehicles for Project Gaganyaan, nuclear submarine missile systems, rocket motor booster applications for ISRO, missile programmes for DRDO, and also the

ever-growing demand from key economic segments. We will be better positioned to consolidate our modern state-of-the-art technology through an enhanced operational synergy. We will also have a simplified capital structure along with a stronger balance sheet, leverage ratios, and improved financial flexibility. **BT**

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The interview took place before JSL's results for the Q2FY23 quarter were declared. The government rolled back the export duty on November 18, 2022.